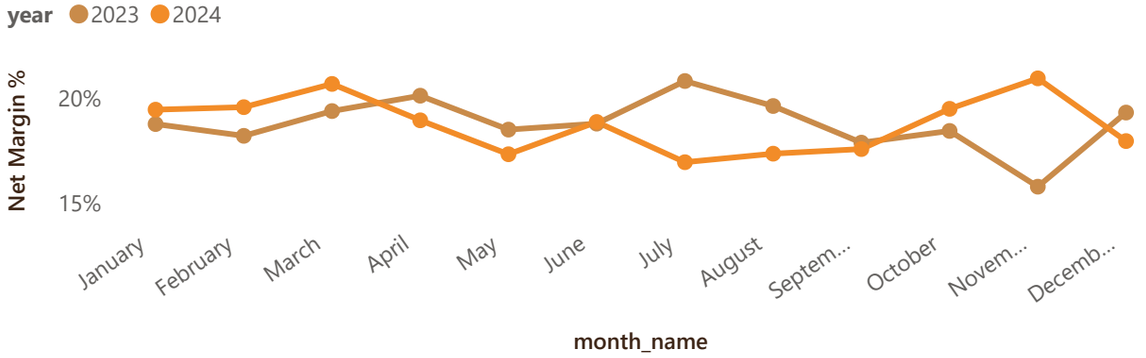
Sunrise Coffee-Chain Stores Profit Analysis

A stable £90m estate that leaks profit through costs, not sales

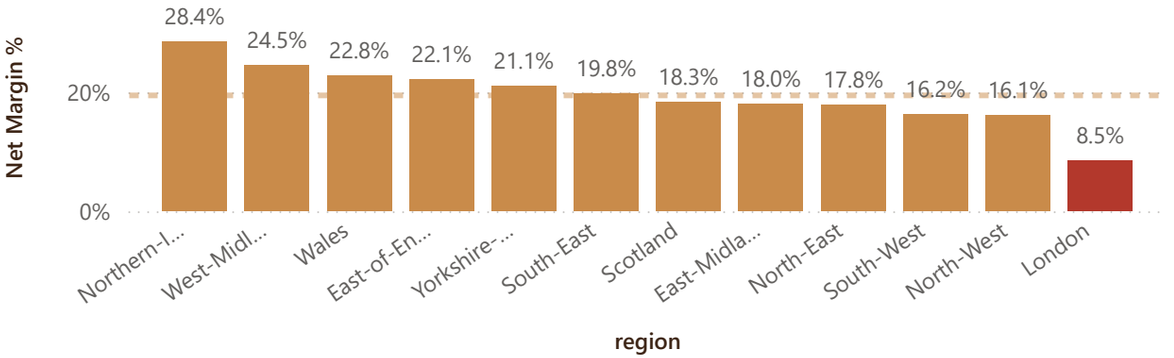
year: All | location_ty...: All | region: All

£89.69M	£16.88M	18.8%	-0.6%	£1.73M	9
Revenue	Net Profit	Net Margin	Revenue Growth	Loyalty Redemption Cost	Priority Stores

Margin held at 18.8% in both years, but the monthly pattern doesn't repeat



London earns 8.5% margin, Northern Ireland 28.4%



Insight:

- *Margin is flat at 18.8% and revenue is down 0.6%.*
- *Staffing share explains 69% of the margin gap between stores. At the same revenue, the highest-rent quartile earns 7.6 points less margin.*
- *9 stores need review: 5 rent-led (4 in London) and 4 labour-led.*
- *Loyalty costs £1.7m with no visible spend uplift*

Figures are for the full period

Rent and staffing drive margin, revenue does not

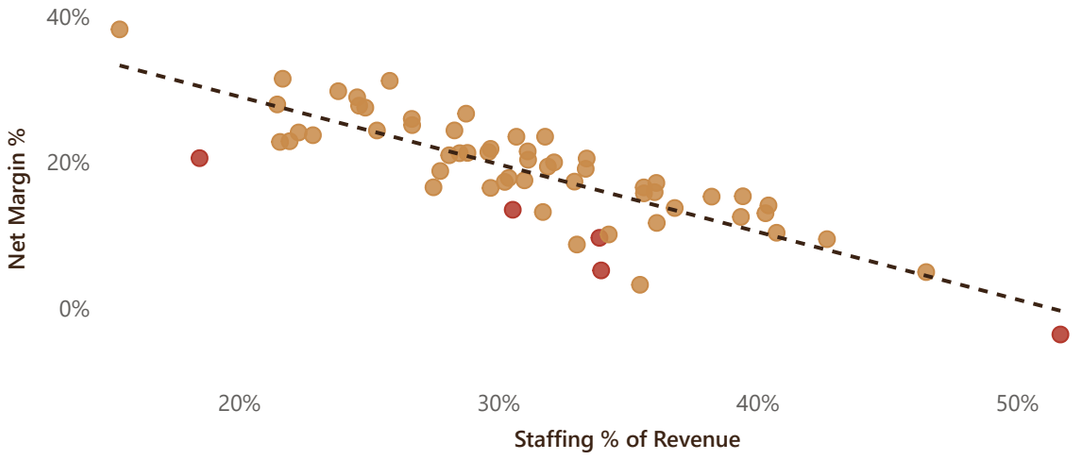
year: All | location_ty...: All | region: All

10.4%
Rent % of Revenue

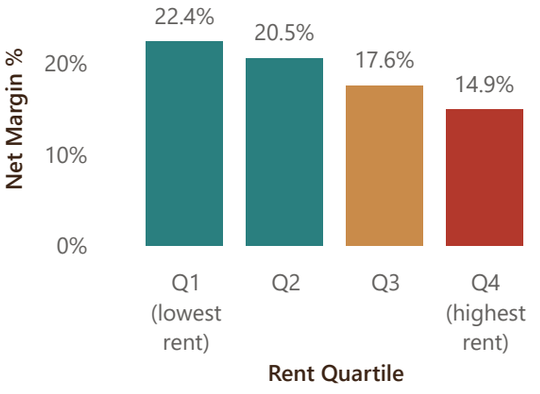
31.0%
Staffing % of Revenue

18.8%
Net Margin

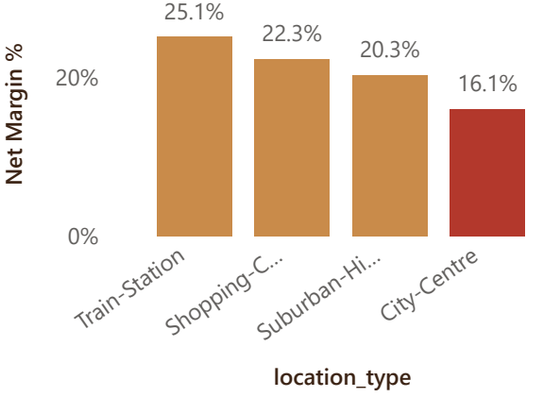
Stores that spend more on staff earn less (r = -0.83)



Same revenue, 7.6 points less margin in the highest rent quartile



City-Centre, half the estate, earns lowest margin



London: highest rent share, lowest margin

region	Count of store_name	Net Margin %	Rent % of Revenue	Staffing % of Re
Yorkshire-and-Humber	6	21.1%	8.0%	
West-Midlands	3	24.5%	6.6%	
Wales	6	22.8%	7.3%	
South-West	5	16.2%	11.2%	

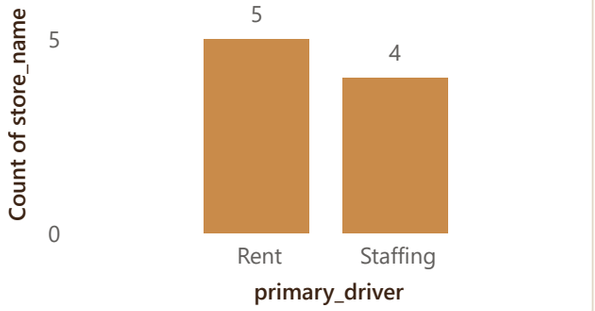
London pays £11.7k average rent vs £6.5% for the estate. Closing the margin gap to the other 53 stores is worth up to about £0.6m a year.

9 stores need review: 5 have rent problem, 4 labour problem

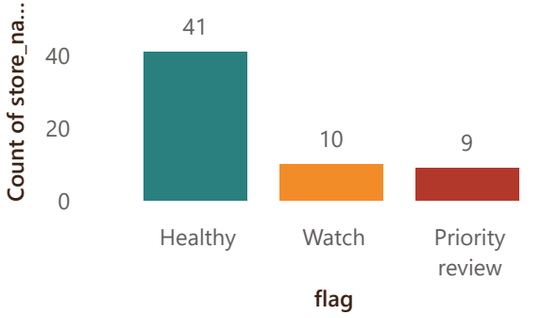
location_ty... All

region All

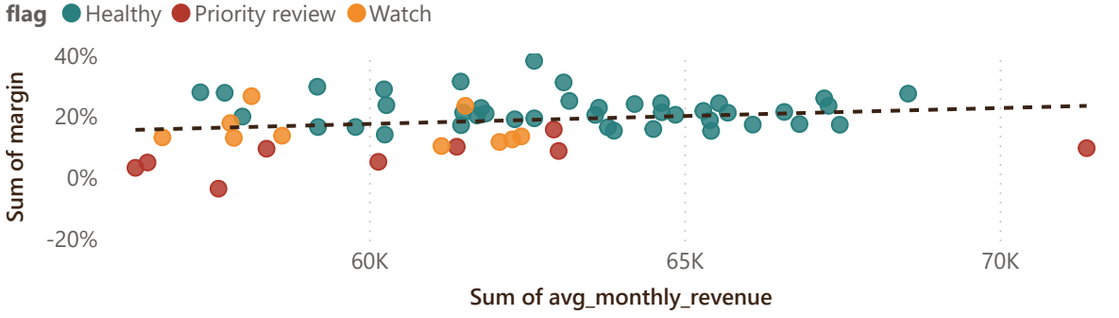
Primary drivers



9 priority stores, 10more on watchlist



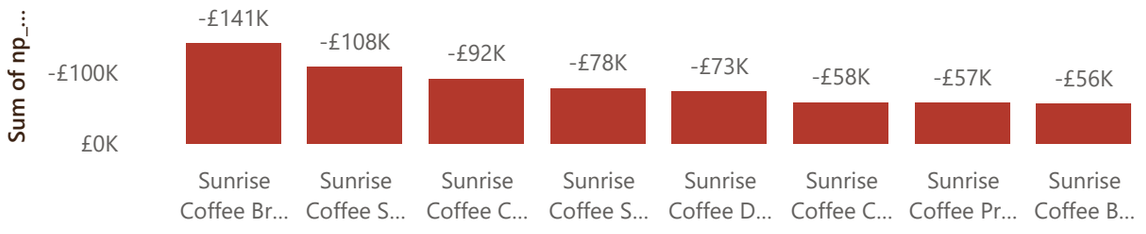
Revenue vs Margin: Revenue is similar across stores, margin is not



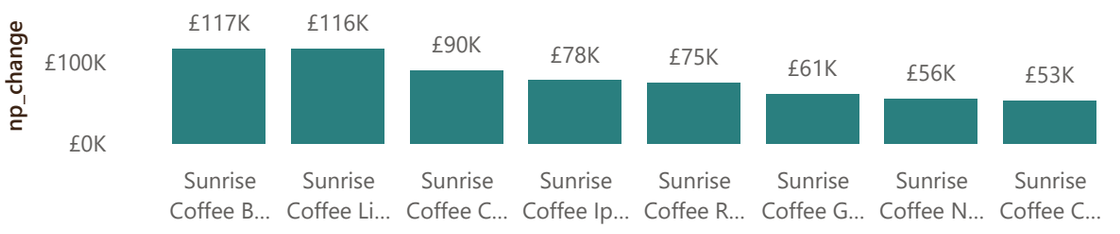
Priority Table

store_name	region	flag	margin	loss_months	staffing_pct	rent_pct	np_change
Sunrise Coffee South London Corner	London	Priority review	-3.7%	13	51.7%	13.3%	-£107,793.24
Sunrise Coffee Canary Wharf Express	London	Priority review	3.2%	12	35.5%	21.8%	£38,324.57
Sunrise Coffee Manchester Collective	North-West	Priority review	4.9%	8	46.5%	8.1%	-£17,618.41
Sunrise Coffee North London Yard	London	Priority review	5.1%	7	34.0%	20.4%	-£36,173.69
Sunrise Coffee Canary Wharf Quarter	London	Priority review	8.7%	7	33.1%	19.8%	-£38,857.86
Sunrise Coffee Nottingham Quarter	East-Midlands	Priority review	9.4%	5	42.7%	8.1%	-£12,399.68
Sunrise Coffee East London Lounge	London	Priority review	9.6%	7	33.9%	17.2%	£1,487.45

Decliners



improvers



Loyalty cost £1.7M and shows no spend uplift

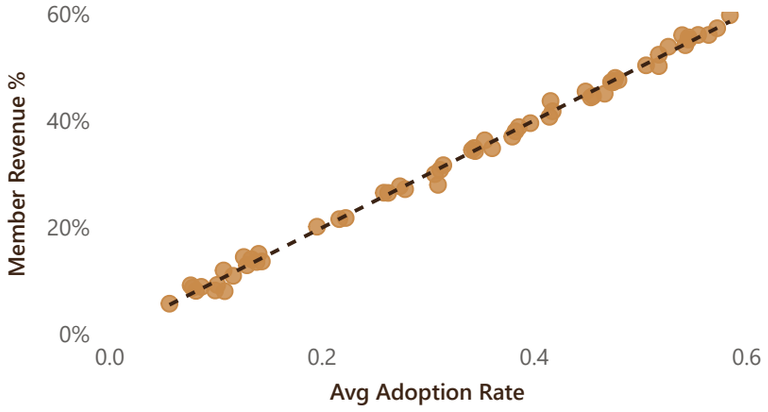
year: All | location_ty...: All | region: All

£1.73M
Loyalty Redemption Cost

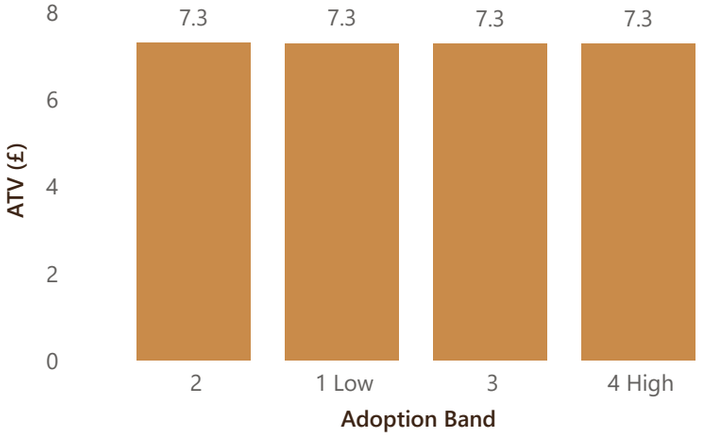
5.8%
Redemption % of Member Revenue

10.3%
Break-even Uplift

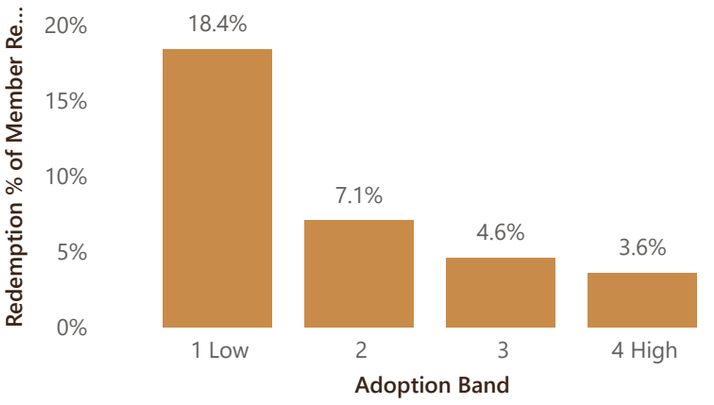
members spend like everyone els: members share tracks adoption



Basket size is flat at every adoption level



Low-adoption stores pay 18p member, high-adoption 4p



To pay for itself, members would need to spend about 10% more per head than they otherwise would. The data shows about 0%.
Recommendation: pause expansion and run a holdout test.
Caveat: no member level or baseline data, so incrementality can't be proven. Redemption cost also looks allocated as a flat share of revenue, which is why low-adoption stores look expensive per member £.

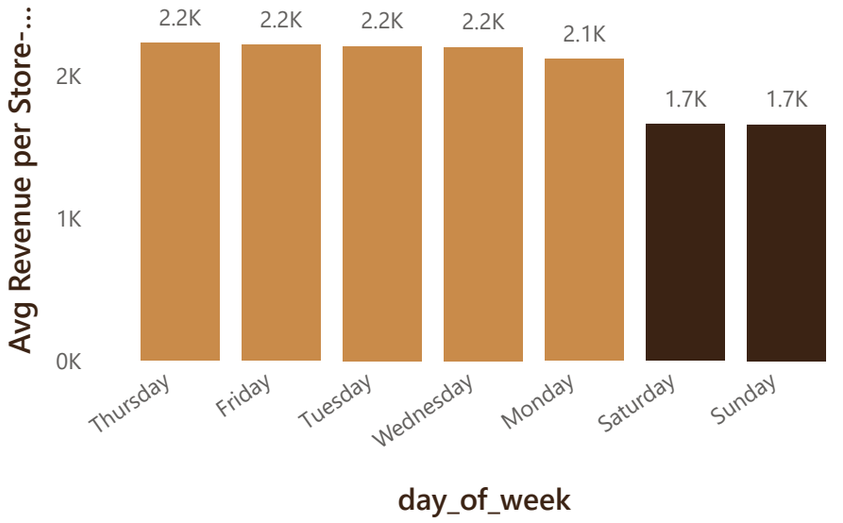
Plan for the week not the season

year: All | location_ty...: All | region: All

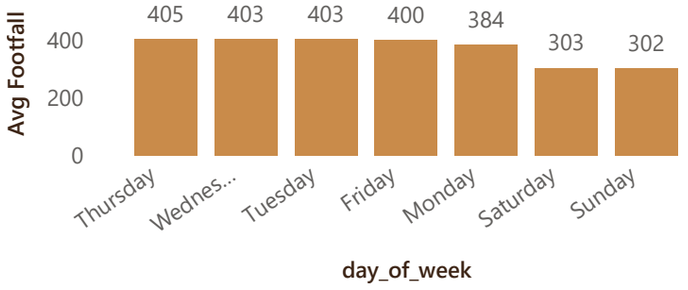
-24.4%
Weekend

-34.4%
Bank Holiday

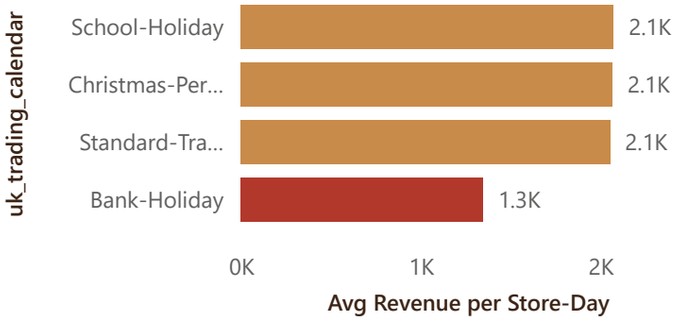
Weekdays bring in 24% less per store_day



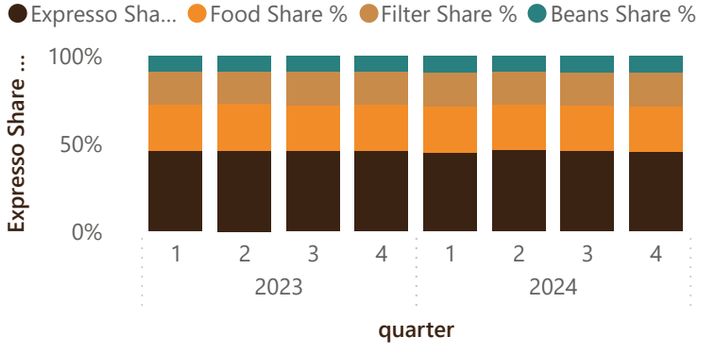
The weekend deep is fewer visitors, not smaller basket



bank holidays trade 34% below a normal day



Revenue mix is stable and food is not growing



Margin by month: no repeating pattern

year	January	February	March	April	May	June	July	August	Sept
2023	18.8%	18.2%	19.4%	20.1%	18.5%	18.8%	20.8%	19.6%	
2024	19.5%	19.6%	20.7%	19.0%	17.3%	18.9%	17.0%	17.4%	

20% of daily figure used for pattern, not totals